

“Once you understand customer behavior, everything else falls into place.”

Thomas G. Stemberg



Assessing customer profile

Good customer

- › Returns frequently to make repeat purchases
- › Responds to marketing and in-store promotions
- › Shares favorite products on social media networks
- › Signs up for newsletters and special offers

Bad customer

- › Bombards call center with complaints
- › Frequently returns products for full refund
- › Never joins loyalty programs or signs up for newsletters
- › Spends less money than the cost of courting them



Three ways to use a customer profile

- 1 Tailor content to suit customer** By sending out personalized messages and experiences, businesses engage customers and build a long-term relationship.
- 2 Sell more to existing customer** Mining customer profiles to see their spending habits, likes, and interests enables marketers to make personalized offers.
- 3 Reward loyal customers** Identifying good customers and offering gifts and incentives tailored to their tastes increases customer lifetime value.

SEGMENTATION SYSTEMS

Once marketers have gathered data and identified their ideal customer profile, they can compare their customer to a number of commonly used systems of segmenting, or characterizing, consumers. In the US, there are many systems, but one of those most well-known is that of the Nielsen company, which uses more than 60 segments that have names like “Boomtown singles” and “Up-and-comers.”

In the UK, customers may be compared to the simple system of socioeconomic class:

- A Managerial and professional**
- B Middle management**
- C1 Clerical and junior management**
- C2 Skilled manual workers**
- D Working class**
- E Non-working and low-paid workers**



NEED TO KNOW

- › **Omnichannel customer** Consumer who shops using multiple channels, including store visits, mobile apps, and websites
- › **Loyads** Customers who are loyal to a provider and champion them, bringing in other customers in the process
- › **360-view** Profile that gives marketer a complete picture of a customer, making it possible to predict their needs and behavior